



Weekly Market Note
September 25th, 2026

Economic Data & Markets Summary

Index	Asset Class	MTD	YTD
MSCI World	Equity	-1.00%	12.40%
MSCI Asia Pacific	Equity	-1.10%	18.62%
MSCI Europe	Equity	-3.64%	8.03%
MSCI China	Equity	-3.79%	-11.32%
Bloomberg Barclays Global Aggregate Index	Fixed Income	-1.23%	-1.51%
Bloomberg Commodities Index	Commodities	2.88%	31.86%
HFRX Global	Hedge Fund	-0.31%	4.08%
HFRX Macro/CTA	Hedge Fund	1.10%	6.84%
HFRX Equity Hedge	Hedge Fund	-0.89%	6.96%

*Index data as of September 18, 2026

Global Markets & Economic Data:

The market seems to be waiting for either a break to the upside or downside and prices seem to be randomly generated in the interim driven by familiar geo-technical-sentiment-yields-fear-greed forces.

US: September PMI data hit multi-year highs, surprising massively to the upside. It was the strongest expansion in private sector activity since July 2021.

Switzerland/UK/EU: The SNB held interest rates at 0%, bucking the recent trend of global central bank hiking decisions. UK September Services and Manufacturing Activity both held in expansionary territory. Germany's GfK Consumer Confidence indicator fell with sentiment sagging due to elevated energy prices.

China/Japan: Chinese FDI fell 5.3% y/y in August. Japan September Services and Manufacturing PMIs were both below expectations.

Stocks are the new diversifier

6m Rolling Realized Correlation

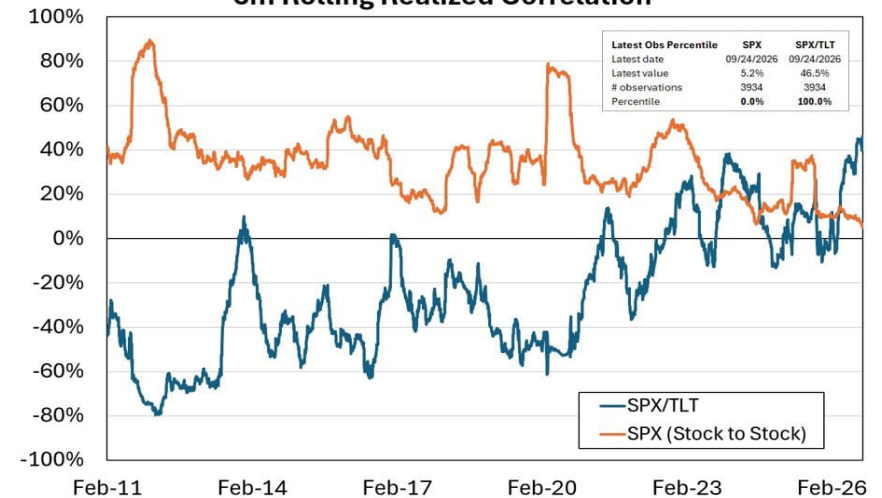
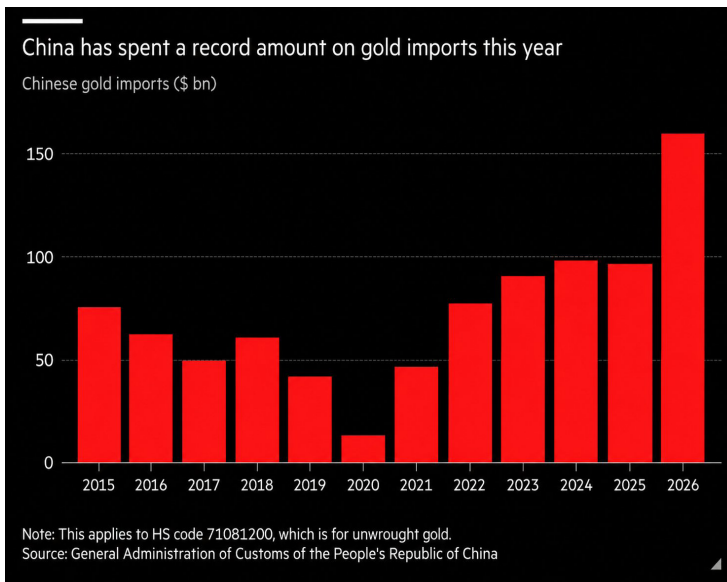


Chart Source(s): Alpha_X_LLC

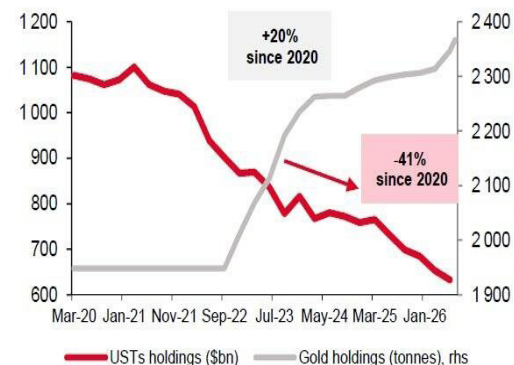
- Macro portfolio managers are remarking that Korean equities are considered a diversifying and defensive component of portfolio construction.
- These days with the price of bonds, currencies and commodities all seemingly set by Trump's latest tweet, the thousands of stocks in the global equity universe provide welcome diversifying options and the potential for fundamentals to translate into a winning trade.
- However, the blurring of risk exposures across Global Macro and Equity Long/Short strategies caused by macro managers stepping into the deep ocean of individual equities means portfolios are becoming more correlated and having greater thematic equity sensitivities.
- Therefore, one must emphasize strategies stylistically distinct from Equity Long/Short like commodity futures trading, quant strategies, and M&A arbitrage to dampen equity correlations.

Market Spotlight: China Gold Holdings

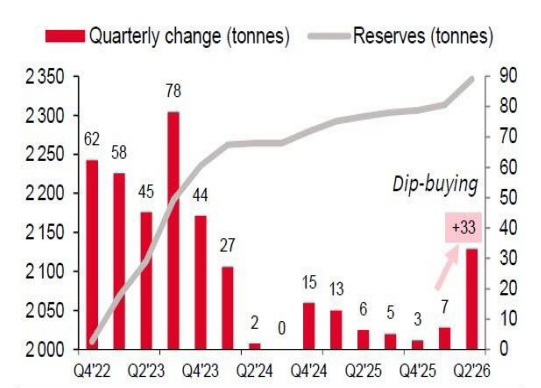
- China is systematically reducing U.S. Treasury holdings, which have fallen by ~\$500 billion (-41%) since 2020 to \$618 billion, the lowest level since 2008. Gold specialists note that China is gradually decreasing its holdings allowing legacy US debt holdings to reach maturity while participating at a lower level in new auctions.
- A large amount of this fresh capital has been diverted to gold with official Chinese gold reserves increasing hitting a record 2,387 tonnes - more than double since 2015. Gold now represents ~7% of China's official reserves, making China the world's fifth-largest gold holder.
- China remains a buyer this year with gold imports in the first eight months of 2026 reaching \$158.8 billion, already exceeding the full 2025 total of \$96.5 billion, with purchases surpassing 1,000 tonnes for the year versus 886 tonnes in 2025.
- Other central banks are following suit with Turkey a notable buyer in recent months. Additionally, stablecoin operator Tether remains a steady monthly gold buyer. However, Gulf states and Russia have been using gold as a liquidity tool in past years, which has tempered gold's YTD ascent.
- Therefore, macro managers have concluded that if the seemingly impossible dual Russia/Iran peace agreement is agreed on over the coming months, this would reduce central bank selling pressures and in turn lead to a surge in the price of gold.



China PBoC gold reserves (tonnes) vs US Treasury holdings (\$bn)



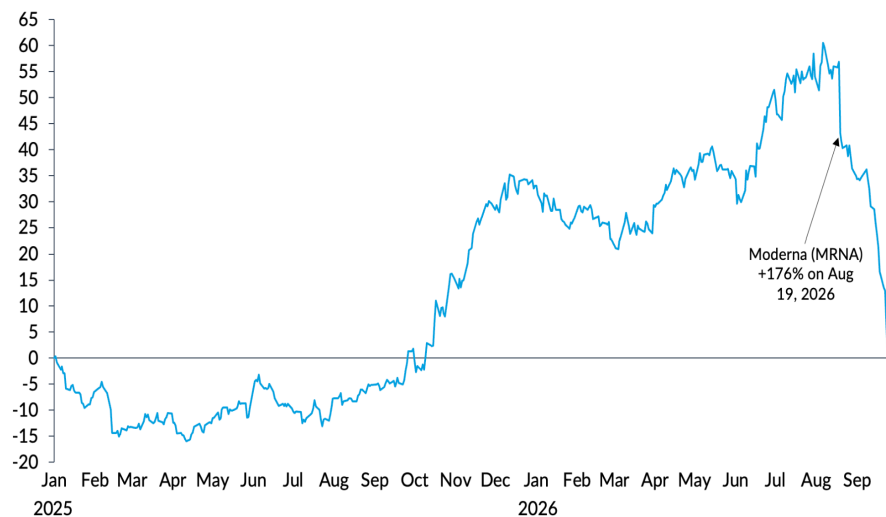
China PBoC gold reserves: quarterly net additions, 4Q22-2Q26 (metric tonnes)



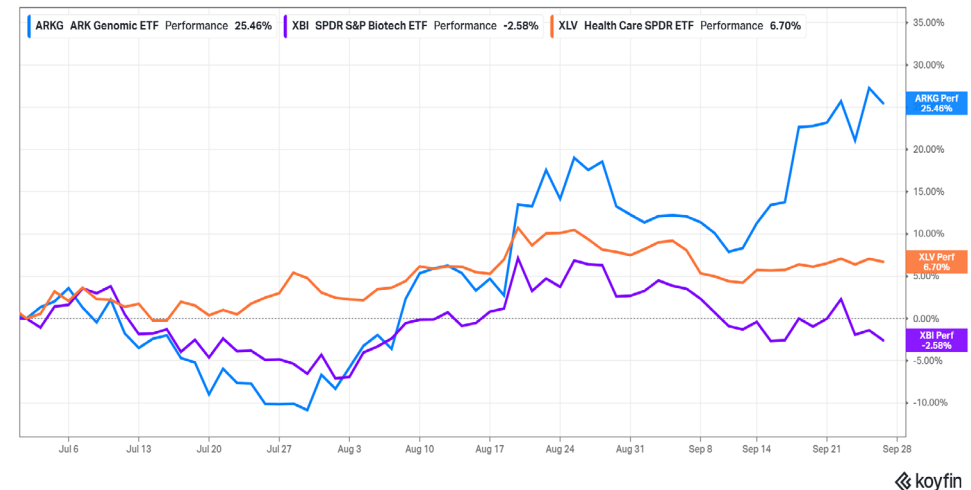
Market Spotlight: Healthcare Headache

- Healthcare appears to be caught in the crosshairs of technical flow-driven activity, resulting in some weak performance in recent months for Equity Long/Short healthcare strategies.
- The surprise mRNA cancer vaccine announcement in July and “biotech AI” frenzy in recent months has been noted as material contributing influences on the difficult conditions creating a healthcare de-grossing event of almost historical proportions.
- The chart below represents a biotech long/short spread that highlights the magnitude of the de-grossing event.
- The dislocation is amplified by the proliferation of biotech specialists SMAs and “pod” exposures who typically trade on shorter term time horizons with tighter stop loss limits.
- We are observing both healthcare specialists and generalist investors mention that the fundamental disconnect in the space, which provides confidence that the pain witnessed recently has the potential to become a prolonged runway for profit making over the medium-term.

Biotech Long/Short Spread¹



What the hell is going on here?



Hockney from Soot to Sun



David Hockney's journey reads like a modern fairy tale. Born in Bradford, Yorkshire in 1937, the young art student seemed destined for a conventional British life. He studied at the Royal College of Art in London, already brilliant but grounded in post-war austerity and grey skies.

Then came the pivot. In 1964, Hockney saw a documentary about Los Angeles and became obsessed. The sunshine, the swimming pools, the desert landscape—everything felt like artistic liberation. He scraped together funds and made his first trip, completely enchanted by the light and space he found there.

What started as a holiday became a permanent migration. Hockney began painting Southern California's glittering pools and blonde boys, transforming the mundane into pop art masterpieces. "A Bigger Splash" (1967) became iconic—that explosive moment capturing the essence of hedonistic LA.

The Yorkshire lad who'd known rain and industrial grit became the bard of California dreaming. He settled in LA, painting its architecture, its gardens, its very soul. The contrast couldn't be starker: from Yorkshire's working-class landscapes to Beverly Hills luxury.

Yet somehow, Hockney never lost his Northern authenticity. He simply found his muse 5,000 miles away, under relentless California sun, proving that sometimes artistic destiny requires radical geographical reinvention.



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